Macroeconomic Analysis of Canadian CPI (2020–2024)

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Data via Statistics Canada

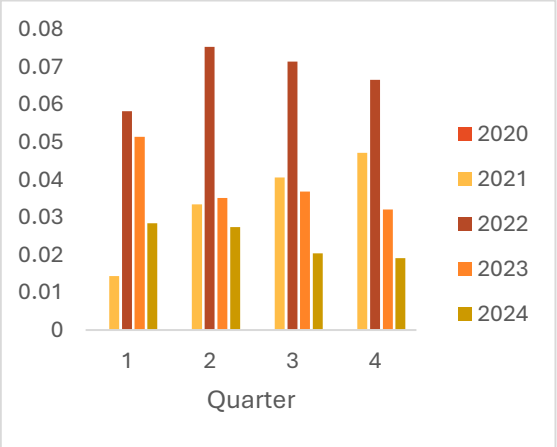
Introduction

Inflation, a fundamental measure of economic health, impacts households, businesses, and government decisions. From 2020 to 2024, Canada experienced significant fluctuations in inflation, driven by global crises, supply chain disruptions, and structural economic challenges. This report provides a detailed analysis of these trends, examining their effects across sectors such as food, shelter, and energy. Additionally, it offers projections for 2025 and 2026 to help stakeholders navigate future economic conditions. Visualizations enhance the narrative by illustrating critical shifts and patterns in Canada's inflationary environment.

Quarterly Trends: Recovery and Peaks

Quarterly data from 2020 to 2024 reveals a dynamic inflation landscape shaped by the pandemic, economic recovery, and global disruptions. In 2020, the inflation rate was relatively subdued, averaging 136.9 in the first quarter and dipping slightly to 136.3 in the second. This stability reflected reduced demand as lockdowns constrained economic activity, particularly in non-essential sectors. Supply chain disruptions further exacerbated these challenges, keeping inflation under control during a turbulent year.

CHART 1: QUARTERLY INFLATION TRENDS (2020-2024)



By 2021, as economies reopened, inflation rose steadily. The resurgence of consumer demand collided with constrained supply chains, leading to significant price increases. Inflation peaked dramatically in 2022, reaching 151.2 in the second quarter. This peak was largely driven by global supply chain pressures and geopolitical events, such as the Russia-Ukraine conflict, which triggered energy price surges and ripple effects across sectors. Efforts by the Bank of Canada to curb inflation through interest rate hikes, combined with

government initiatives to address supply bottlenecks, aimed to stabilize the economy during this critical period.

In 2023 and 2024, inflation growth moderated but remained elevated. Annual averages of 157.1 in 2023 and 160.8 in 2024 underscored persistent structural challenges, particularly in housing and energy markets. Policy interventions, such as incentives for affordable housing development and clean energy investments, were pivotal in controlling inflationary pressures and fostering longer-term economic stability.

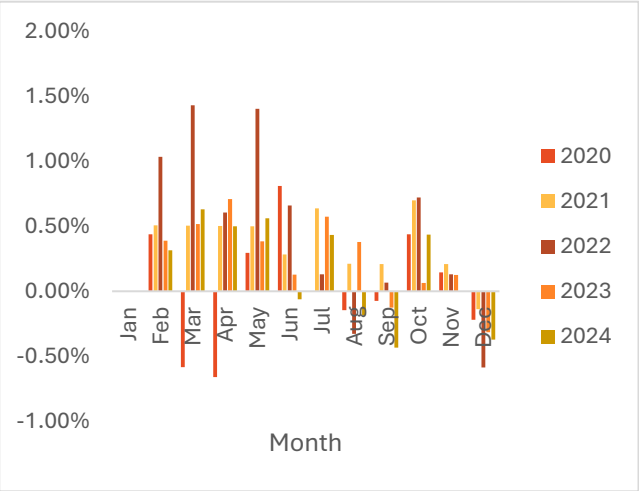
Monthly Trends: Short-Term Volatility

Monthly inflation data highlights sharp fluctuations during the pandemic. In April 2020, inflation dropped to a historic low of 135.7 as lockdowns froze economic activity. Recovery was evident by June, with inflation rising to 136.1, signaling early signs of stabilization.

March 2022 marked a significant turning point. Geopolitical tensions and global energy market disruptions caused inflation to spike, straining households and businesses. The Canadian government responded with temporary fuel levy reductions and energy conservation campaigns, aiming to mitigate the economic impact. By 2024, monthly inflation fluctuations had stabilized, reflecting a return to economic normalcy, albeit at higher living costs than pre-pandemic levels.

December often brings a noticeable drop in inflation due to several seasonal factors. The harvest season leads to lower prices for fresh produce like fruits and vegetables. Retailers contribute by offering holiday sales and promotions, reducing the cost of consumer goods. Also, notably in 2024, government introduced temporary tax breaks , rebates on essentials such as food and fuel, further easing prices. Additionally, economic activity slows, reduced demand can result in smaller price increases or even decline.

CHART 2: MONTHLY INFLATION TRENDS (2020-2024)



Sectoral Analysis: Food, Shelter, and Energy

Inflation varied significantly across sectors, with food, shelter, and energy experiencing unique challenges and trends.

Food inflation peaked in 2022, with store-bought groceries exceeding 10% annual growth, outpacing inflation for restaurant meals. Supply chain disruptions and rising production costs were major drivers. By 2024, improved logistics and

policy measures had eased food inflation, although prices remained above pre-pandemic levels.

The shelter sector faced steady cost increases, with rental inflation surpassing 8% in 2024, significantly outpacing owned housing inflation, which stabilized at 6%. Urban housing shortages and rising construction costs contributed to these pressures. Government incentives for affordable housing development were critical in addressing this persistent challenge.

Energy prices, including water, fuel, and electricity, surged in 2022 due to geopolitical conflicts. By 2024, prices plateaued, aided by clean energy initiatives that reduced reliance on volatile international markets.

CHART 3: INFLATION RATE COMPARISON - FOOD PURCHASED FROM RESTAURANT VS. STORE

CHART 4: INFLATION RATE COMPARISON (RENTED VS OWNED ACCOMMODATION)

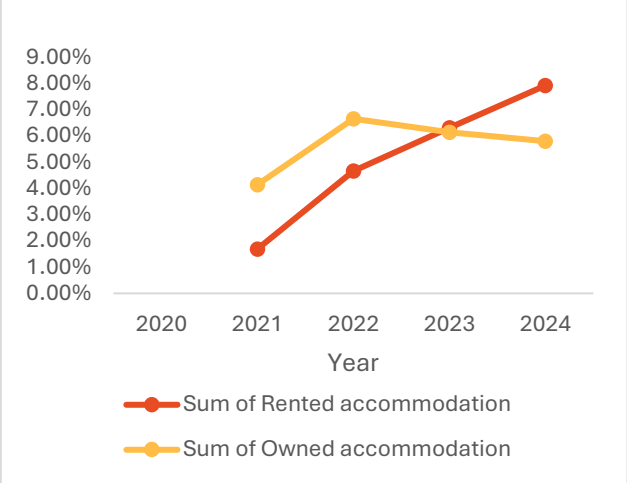
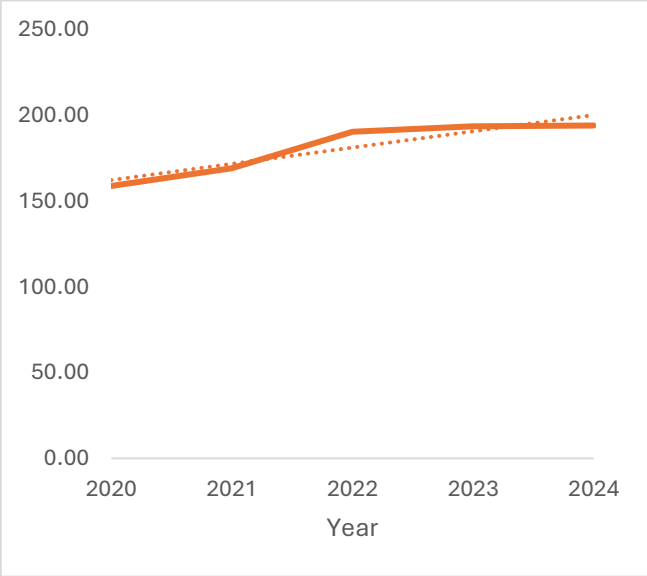


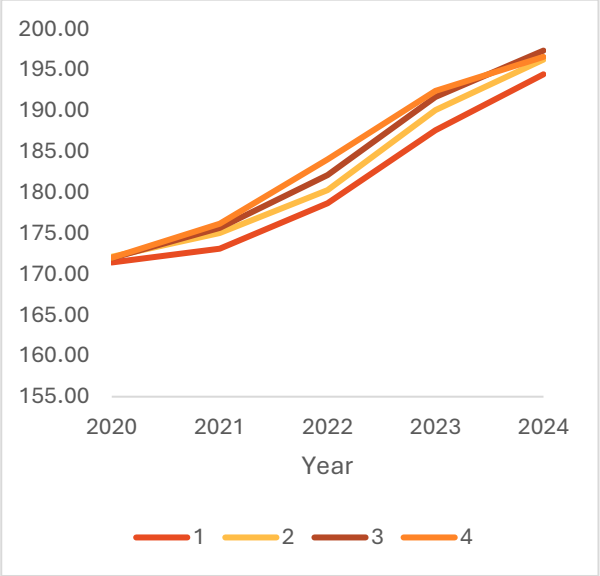
CHART 5: YEARLY WATER, FUEL AND ELECTRICITY TREND



From 2020 to 2024, the price trends of alcoholic beverages, tobacco products, and recreational cannabis showed a steady increase across all four quarters. The upward trajectory indicates consistent growth, reflecting inflationary pressures or increased demand for these products.

Quarterly comparisons reveal a slight variation in growth rates, with Q4 often seeing marginally higher values, possibly driven by seasonal consumption patterns. For instance, prices rose from an average of approximately 172 in 2020 to 190 by 2024, marking a significant cumulative increase over the years.

CHART 6: PRICE TREND OF ALCOHOLIC BEVERAGES, TOBACCO AND RECREATIONAL CANNABIS



Annual Trends: The Big Picture

From 2020 to 2024, inflation illustrated the interplay of global and domestic forces. The subdued rates of 2020 gave way to sharp increases in 2021 and 2022, culminating in a peak of 151.2 in 2022. These changes reflected a mix of pent-up demand, supply chain constraints, and external shocks. By 2024, inflation had stabilized at higher levels, thanks to coordinated efforts by policymakers and businesses.

This stabilization was reflected in the gradual convergence of inflation rates for essentials and non-essentials, which aligned at approximately 3% by 2024. Such trends suggest a normalization of economic conditions and reduced disparities in price pressures across different consumption categories.

CHART 7: ANNUAL INFLATION TRENDS (2020-2024)

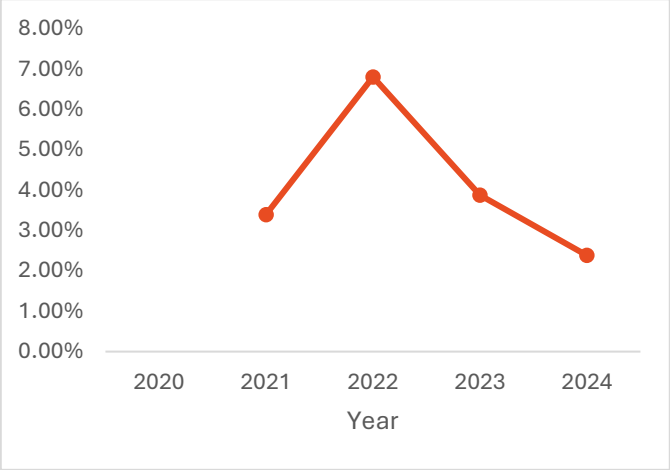


CHART 8: INFLATION RATE COMPARISON – ESSENTIALS VS NON-ESSENTIALS

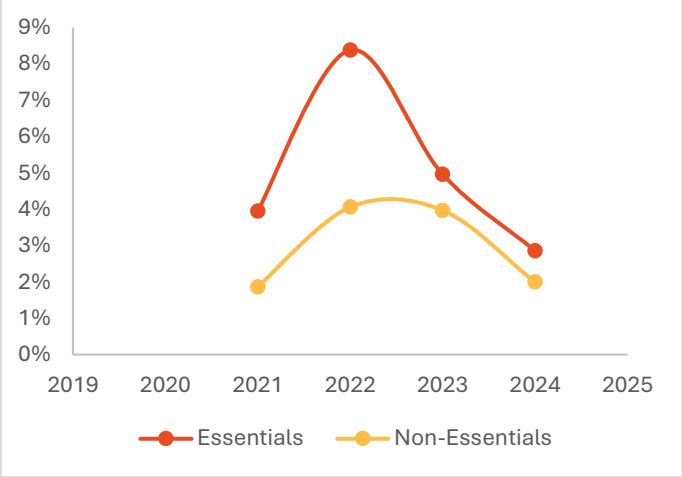
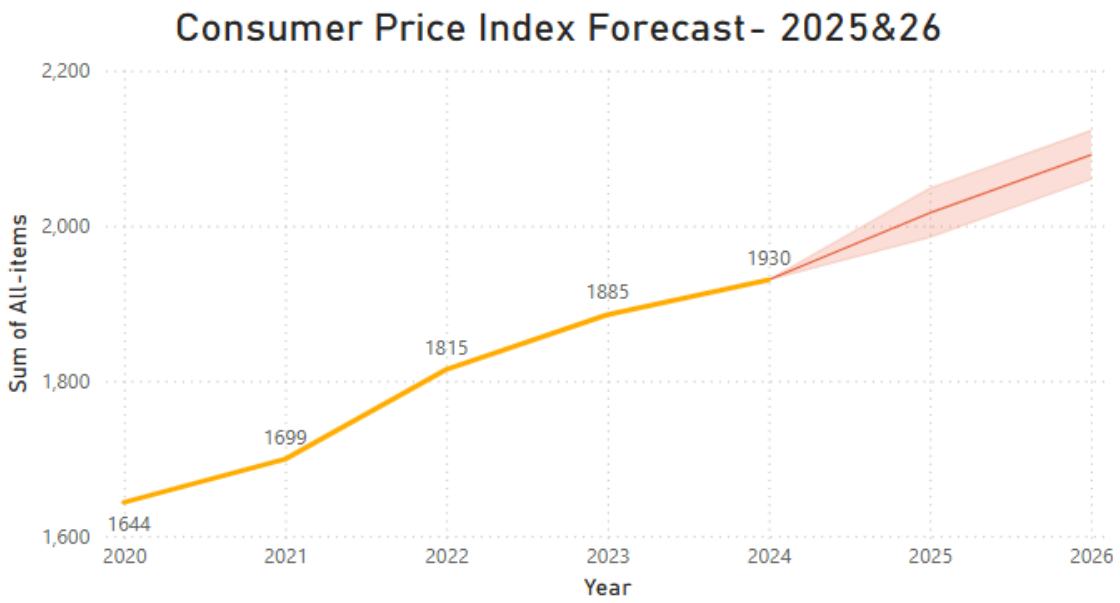


CHART 9: PROJECTED CONSUMER PRICE INDEX GROWTH (2020 – 2026)



Projections for 2025-2026

Inflation is projected to grow at a steady pace, with increases of 3.1% in 2025 and 3.0% in 2026. This controlled growth reflects effective monetary and fiscal policies aimed at balancing economic expansion with price stability. However, external risks, such as geopolitical disruptions or energy market shocks, remain significant. Policymakers must remain vigilant, prioritizing structural reforms in housing and energy to ensure sustainable economic growth.

Conclusion

The Canadian economy demonstrated resilience amidst significant challenges from 2020 to 2024. While inflation peaked in 2022, targeted interventions led to stabilization by 2024. Looking ahead, balanced policies focusing on housing, energy, and supply chain resilience are critical to sustaining economic stability. Canada's inflation narrative underscores the importance of proactive policymaking in fostering long-term growth and equity.